

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES
REGULATION CODE AND SRC RULE 17(2)(b) THEREUNDER

1. For the quarterly period ended **30 September 2025**
2. Commission Identification Number: **167423** 3. BIR Tax Identification No.: **000-477-103**
4. **MEGAWORLD CORPORATION**
Exact name of issuer as specified in its charter
5. **Metro Manila, Philippines**
Province, Country or other jurisdiction of incorporation or organization
6. (SEC Use Only)
Industry Classification Code
7. **30th Floor, Alliance Global Tower**
36th Street cor. 11th Avenue
Uptown Bonifacio, Taguig City 1634
Address of issuer's principal office
8. **(632) 8894-6300/6400**
Issuer's telephone number, including area code
9. Securities registered pursuant to Sections 8 and 12 of the Code, or Sections 4 and 8 of the RSA

<u>Title of Each Class</u>	<u>Number of Shares of Stock Outstanding</u>
Common	32,528,128,872
Preferred	6,000,000,000
Total	38,528,128,872

10. Are any or all of the securities listed on a Stock Exchange?

Yes ☒ No ☐

If yes, state the name of such Stock Exchange and the class/es of securities listed therein:

The shares of common stock of the Company are listed on the Philippine Stock Exchange.

11. Indicate by check mark whether the registrant:

- (a) has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Section 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of The Corporation Code of the Philippines, during the preceding twelve (12) months (or for such shorter period the registrant was required to file such reports).

Yes ☒ No ☐

(b) has been subject to such filing requirements for the past ninety (90) days.

Yes ☒

No ☐

PART I - FINANCIAL INFORMATION

Item 1. Financial Statements

The Interim Financial Statements are attached as Exhibits 1 to 5 hereof and incorporated herein by reference:

Exhibit 1 - Consolidated Statements of Financial Position as of December 31, 2025
and September 30, 2025

Exhibit 2 - Consolidated Statements of Income for the periods ended September 30, 2025
and September 30, 2024

Exhibit 3 - Consolidated Statements of Changes in Equity as of September 30, 2025
and September 30, 2024

Exhibit 4 - Consolidated Statements of Cash Flow as of September 30, 2025 and
September 30, 2024

Exhibit 5 - Notes to Interim Consolidated Financial Statements

Item 2. Management's Discussion and Analysis of Results of Operations and Financial Condition

Please refer to Exhibit 6 hereof.

Item 3. Aging of Accounts Receivables

Please refer to Exhibit 7 hereof.

Item 4. Schedule of Financial Soundness Indicators

Please refer to Exhibit 8 hereof.

PART II – OTHER INFORMATION

The Company is not in possession of information which has not been previously reported in a report on SEC Form 17-C and with respect to which a report on SEC Form 17-C is required to be filed.

SIGNATURE

Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

MEGAWORLD CORPORATION

Issuer

By:



DR. FRANCISCO C. CANUTO

Treasurer (Principal Financial Officer)

and Duly Authorized Officer

November 4, 2025

MEGAWORLD CORPORATION AND SUBSIDIARIES
INTERIM CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
(In thousand pesos)

EXHIBIT 1

	Unaudited September 30, 2025		Audited December 31, 2024	
<u>ASSETS</u>				
CURRENT ASSETS				
Cash and cash equivalents	P	19,221,367	P	21,421,340
Trade and other receivables - net		46,134,398		41,297,762
Contract assets		26,973,936		22,818,990
Inventories		133,994,828		135,861,852
Advances to contractors and suppliers		13,001,876		12,796,592
Prepayments and other current assets		15,336,869		13,483,399
Total Current Assets		254,663,274		247,679,935
NON-CURRENT ASSETS				
Trade and other receivables - net		33,711,310		33,261,605
Contract assets		11,048,542		12,696,802
Advances to contractors and suppliers		1,137,805		1,486,774
Advances to landowners and joint operators		9,406,564		8,830,352
Financial assets at fair value through other comprehensive income		5,117,556		5,411,250
Investments in associates -net		2,682,633		2,813,485
Investment properties - net		151,494,569		146,883,192
Property and equipment - net		12,764,197		7,194,012
Deferred tax assets - net		500,630		424,870
Other non-current assets - net		2,959,133		2,954,563
Total Non-current Assets		230,822,939		221,956,905
TOTAL ASSETS				
	P	485,486,213	P	469,636,840

	Unaudited September 30, 2025	Audited December 31, 2024
<u>LIABILITIES AND EQUITY</u>		
CURRENT LIABILITIES		
Interest-bearing loans and borrowings	P 22,097,539	P 21,405,998
Trade and other payables	33,579,841	28,832,783
Contract liabilities	2,211,669	1,669,577
Customers' deposits	9,106,462	9,692,490
Advances from other related parties	1,634,124	1,463,853
Income tax payable	41,441	26,700
Other current liabilities	8,829,580	9,218,381
Total Current Liabilities	77,500,656	72,309,782
NON-CURRENT LIABILITIES		
Interest-bearing loans and borrowings	60,528,466	68,587,513
Bonds and notes payable	20,130,456	20,049,555
Contract liabilities	4,248,165	4,914,918
Customers' deposits	1,504,242	2,370,903
Deferred tax liabilities - net	18,551,258	15,884,995
Retirement benefit obligation-net	837,045	869,941
Other non-current liabilities	6,475,422	5,914,143
Total Non-current Liabilities	112,275,054	118,591,968
Total Liabilities	189,775,710	190,901,750
EQUITY		
Total equity attributable to the Company's shareholders	261,605,854	246,294,123
Non-controlling interests	34,104,649	32,440,967
Total Equity	295,710,503	278,735,090
TOTAL LIABILITIES AND EQUITY	P 485,486,213	P 469,636,840

MEGAWORLD CORPORATION AND SUBSIDIARIES
INTERIM CONSOLIDATED STATEMENTS OF INCOME
(In thousand pesos, except earnings per share)

EXHIBIT 2

	2025 Unaudited Jul 1 - Sep 30	2025 Unaudited Jan 1 - Sep 30	2024 Unaudited Jul 1 - Sep 30	2024 Unaudited Jan 1 - Sep 30
REVENUES AND INCOME				
Real estate sales	P 13,129,293	P 40,243,876	P 13,023,735	P 37,847,973
Rental income	5,511,274	16,240,268	4,826,845	14,155,199
Hotel operations	1,316,562	4,128,062	1,277,906	3,642,879
Interest and other income - net	<u>1,369,706</u>	<u>3,801,517</u>	<u>1,559,304</u>	<u>4,137,270</u>
	<u>21,326,835</u>	<u>64,413,723</u>	<u>20,687,790</u>	<u>59,783,321</u>
COSTS AND EXPENSES				
Cost of real estate sales	6,382,263	19,874,967	6,483,969	18,935,385
Cost of hotel operations	790,791	2,403,528	721,665	2,085,231
Operating expenses	5,363,453	15,737,127	5,134,421	13,911,351
Equity in net losses (earnings) of associates	83,017	130,852	(6,055)	104,142
Interest and other charges - net	1,757,364	4,289,687	961,691	5,403,851
Tax expense	<u>1,108,881</u>	<u>4,047,270</u>	<u>1,520,478</u>	<u>3,657,549</u>
	<u>15,485,769</u>	<u>46,483,431</u>	<u>14,816,169</u>	<u>44,097,509</u>
NET PROFIT FOR THE PERIOD	<u>P 5,841,066</u>	<u>P 17,930,292</u>	<u>P 5,871,621</u>	<u>P 15,685,812</u>
Net profit attributable to:				
Company's shareholders	P 5,232,359	P 15,928,602	P 5,174,962	P 13,727,122
Non-controlling interests	<u>608,707</u>	<u>2,001,690</u>	<u>696,659</u>	<u>1,958,690</u>
	<u>P 5,841,066</u>	<u>P 17,930,292</u>	<u>P 5,871,621</u>	<u>P 15,685,812</u>
Earnings Per Share :				
Basic	<u>P 0.160</u>	<u>P 0.489</u>	<u>P 0.162</u>	<u>P 0.436</u>
Diluted	<u>P 0.160</u>	<u>P 0.489</u>	<u>P 0.162</u>	<u>P 0.436</u>

MEGAWORLD CORPORATION AND SUBSIDIARIES
INTERIM CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(In thousand pesos)

	2025 Unaudited Jul 1 - Sep 30		2025 Unaudited Jan 1 - Sep 30		2024 Unaudited Jul 1 - Sep 30		2024 Unaudited Jan 1 - Sep 30	
NET PROFIT FOR THE PERIOD	P	5,841,066	P	17,930,292	P	5,871,621	P	15,685,812
OTHER COMPREHENSIVE INCOME (LOSS)								
Items that will not be reclassified subsequently to consolidated profit or loss:								
Fair value gain (loss) on financial assets at fair value through other comprehensive income	(	105,552)	(	231,746)		138,360	(	474,817)
Items that will be reclassified subsequently to consolidated profit or loss:								
Unrealized gain on cash flow hedge		76,133		154,458		115,220		59,511
Exchange difference on translating foreign operations		18,055	(	53,341)	(	36,934)	(	25,052)
		<u>94,188</u>		<u>101,117</u>		<u>78,286</u>		<u>34,459</u>
Total Other Comprehensive Income (Loss)	(	<u>11,364</u>	(	<u>130,629</u>		<u>216,646</u>	(	<u>440,358</u>
TOTAL COMPREHENSIVE INCOME FOR THE PERIOD	P	<u>5,829,702</u>	P	<u>17,799,663</u>	P	<u>6,088,267</u>	P	<u>15,245,454</u>
Total comprehensive income attributable to:								
Company's shareholders		5,250,207		15,826,774		5,376,796		13,325,851
Non-controlling interests		<u>579,495</u>		<u>1,972,889</u>		<u>711,471</u>		<u>1,919,603</u>
	P	<u>5,829,702</u>	P	<u>17,799,663</u>	P	<u>6,088,267</u>	P	<u>15,245,454</u>

MEGAWORLD CORPORATION AND SUBSIDIARIES
INTERIM CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
(In thousand pesos)

EXHIBIT 3

	Unaudited September 30, 2025		Unaudited September 30, 2024	
CAPITAL STOCK	P	33,805,866	P	33,805,866
ADDITIONAL PAID-IN CAPITAL		18,233,481		18,233,481
TREASURY SHARES - AT COST	(	2,860,007)	(	2,852,655)
REVALUATION RESERVES		15,080,356		11,363,786
RETAINED EARNINGS		197,346,158		183,593,007
NON-CONTROLLING INTERESTS		<u>34,104,649</u>		<u>33,791,585</u>
TOTAL EQUITY	P	<u>295,710,503</u>	P	<u>277,935,070</u>

MEGAWORLD CORPORATION AND SUBSIDIARIES
INTERIM CONSOLIDATED STATEMENTS OF CASH FLOWS
(In thousand pesos)

EXHIBIT 4

	Unaudited September 30, 2025	Unaudited September 30, 2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Profit before tax	P 21,977,562	P 19,343,361
Adjustments for:		
Depreciation and amortization	2,745,210	2,756,412
Interest and other charges	2,353,108	2,581,237
Interest and other income	(1,679,833)	(1,198,837)
Employee share options	7,423	7,753
Equity in net losses of associates	130,852	104,142
Operating profit before working capital changes	25,534,322	23,594,068
Net Changes in Operating Assets and Liabilities		
Increase in current and non-current assets	(9,112,408)	(20,926,408)
Increase in current and non-current liabilities	3,932,666	4,618,736
Cash generated from operations	20,354,580	7,286,396
Cash paid for income taxes	(1,968,815)	(1,467,399)
NET CASH FROM OPERATING ACTIVITIES	18,385,765	5,818,997
CASH FLOWS USED IN INVESTING ACTIVITIES	(7,644,134)	(8,887,292)
CASH FLOWS USED IN FINANCING ACTIVITIES	(12,941,604)	(6,199,808)
NET DECREASE IN CASH AND CASH EQUIVALENTS	(2,199,973)	(9,268,103)
CASH AND CASH EQUIVALENTS AT BEGINNING OF PERIOD	21,421,340	25,115,017
CASH AND CASH EQUIVALENTS AT END OF THE PERIOD	P 19,221,367	P 15,846,914

MEGAWORLD CORPORATION AND SUBSIDIARIES
(A Subsidiary of Alliance Global Group, Inc.)
NOTES TO INTERIM CONSOLIDATED FINANCIAL STATEMENTS
FOR THE NINE MONTHS ENDED SEPTEMBER 30, 2025 AND 2024
(UNAUDITED)
(Amounts in Philippine Pesos)

1. CORPORATE INFORMATION

Megaworld Corporation (the Parent Company) was incorporated in the Philippines on August 24, 1989, primarily to engage in the development of large scale, mixed-use planned communities or townships that integrate residential, commercial, leisure and entertainment components. The Parent Company is presently engaged in property-related activities such as project design, construction and property management. The Parent Company's real estate portfolio includes residential condominium units, subdivision lots and townhouses, condominium-hotel projects as well as office projects and retail spaces.

Alliance Global Group, Inc. (AGI or the Ultimate Parent Company) is the ultimate parent company of Megaworld Corporation and its subsidiaries (the Group). AGI is a holding company and is presently engaged in food and beverage, real estate development, quick-service restaurant, tourism-entertainment and gaming businesses.

The Parent Company and AGI's common shares are publicly-listed at the Philippine Stock Exchange (PSE).

The Parent Company's registered office address, which is also its principal place of business, is located at 30th Floor, Alliance Global Tower, 36th Street cor. 11th Avenue, Uptown Bonifacio, Taguig City. AGI's registered office address, which is also its principal place of business, is located at the 7th Floor, 1880 Eastwood Avenue, Eastwood City CyberPark, 188 E. Rodriguez, Jr. Avenue, Bagumbayan, Quezon City.

The Parent Company holds ownership interests in the following subsidiaries and associates:

Subsidiaries	Explanatory Notes	<u>Effective Percentage of Ownership</u>	
		<u>September 2025</u>	<u>December 2024</u>
Prestige Hotels and Resorts, Inc. (PHRI)		100%	100%
Richmonde Hotel Group International Ltd. (RHGI)		100%	100%
Eastwood Cyber One Corporation (ECOC)		100%	100%
Megaworld Cebu Properties, Inc. (MCP)		100%	100%
Megaworld Newport Property Holdings, Inc. (MNPHI)		100%	100%
Megaworld Oceantown Properties Inc. (formerly Oceantown Properties, Inc. (MOPI)		100%	100%
Luxury Global Hotels and Leisure, Inc. (LGHLI)		100%	100%
Arcovia Properties, Inc. (API)		100%	100%

Subsidiaries	Explanatory Notes	<u>Effective Percentage of Ownership</u>	
		<u>September 2025</u>	<u>December 2024</u>
Mactan Oceanview Properties and Holdings, Inc. (MOPHI)	(a)	100%	100%
Megaworld Cayman Islands, Inc. (MCII)	(a)	100%	100%
Piedmont Property Ventures, Inc. (PPVI)	(a)	100%	100%
Stonehaven Land, Inc. (SLI)	(a)	100%	100%
Streamwood Property, Inc. (SP)	(a)	100%	100%
Global One Integrated Business Services, Inc. (GOIBSI)		100%	100%
Luxury Global Malls, Inc. (LGMI)		100%	100%
Davao Park District Holdings, Inc. (DPDHI)		100%	100%
Belmont Newport Luxury Hotels, Inc. (BNLHI)	(g)	100%	100%
Global One Hotel Group, Inc. (GOHGI)	(p)	-	100%
Landmark Seaside Properties, Inc. (LSPI)	(a)	100%	100%
Megaworld San Vicente Coast, Inc. (formerly:			
San Vicente Coast, Inc. (MSVCI)		100%	100%
Hotel Lucky Chinatown, Inc. (HLCI)		100%	100%
Savoy Hotel Manila, Inc. (SHMI)	(g)	100%	100%
Savoy Hotel Mactan, Inc. (SHM)	(g)	100%	100%
Kingsford Hotel Manila, Inc. (KHMI)	(g)	100%	100%
Agile Digital Ventures, Inc. (ADVI)		100%	100%
MREIT Fund Managers, Inc. (MFMI)	(f)	100%	100%
MREIT Property Managers, Inc. (MPMI)	(f)	100%	100%
MREIT, Inc. (MREIT)	(f)	56.63%	63.44%
Belmont Hotel Mactan Inc. (BHMI)	(g)	100%	100%
Grand Westside Hotel, Inc. (GWHI)		100%	100%
Megaworld Bacolod Properties, Inc. (MBPI)		91.55%	91.55%
Megaworld Central Properties, Inc. (MCPI)	(b)	76.55%	76.55%
Megaworld Capital Town, Inc. (MCTI)		76.28%	76.28%
Soho Café and Restaurant Group, Inc. (SCRGI)		75%	75%
La Fuerza, Inc. (LFI)		66.67%	66.67%
Megaworld-Daewoo Corporation (MDC)	(i)	60%	60%
Northwin Properties, Inc. (NWPI)		60%	60%
Gilmore Property Marketing Associates, Inc. (GPMAI)	(a, c)	52.14%	52.14%
Manila Bayshore Property Holdings, Inc. (MBPHI)	(d)	68.03%	68.03%
Megaworld Globus Asia, Inc. (MGAI)		50%	50%
Integrated Town Management Corporation (ITMC)		50%	50%
Maple Grove Land, Inc. (MGLI)		50%	50%
Megaworld Land, Inc. (MLI)		100%	100%
City Walk Building Administration, Inc. (CBAI)	(e)	100%	100%
Forbestown Commercial Center Administration, Inc. (FCCAI)	(e)	100%	100%
Paseo Center Building Administration, Inc. (PCBAI)	(e)	100%	100%
Uptown Commercial Center Administration, Inc. (UCCAI)	(e)	100%	100%
Iloilo Center Mall Administration, Inc. (ICMAI)	(e)	100%	100%
Newtown Commercial Center Administration, Inc. (NCCAI)	(e)	100%	100%
Valley Peaks Property Management, Inc. (VPPMI)	(e)	100%	100%
San Lorenzo Place Commercial Center Administration, Inc. (SLPCCAI)	(e)	100%	100%
Southwoods Lifestyle Mall Management, Inc. (SLMMI)	(e)	100%	100%

Subsidiaries	Explanatory Notes	<u>Effective Percentage of Ownership</u>	
		<u>September 2025</u>	<u>December 2024</u>
Cityfront Commercial Center			
Administration, Inc. (CCCAI)	(e)	100%	100%
Westside Commercial Center			
Administration Inc. (WCCAI)	(e, k)	100%	100%
Uptown Place Building Administration			
Inc. (UPTBAI)	(o)	100%	-
Alliance Global Tower Building Administration			
Inc. (AGTBAL)	(o)	100%	-
Eastwood Global Plaza Corporate Tower Building			
Administration, Inc. (EGPBAI)	(o)	100%	-
Global One Building Administration,			
Inc. (GBOBAI)	(o)	100%	-
1 Campus Place Building Administration			
Inc. (1CPBAI)	(o)	100%	-
Mckinley West Campus Building			
Administration Inc. (MWC)	(o)	100%	-
Technoplaza Two Building			
Administration Inc. (TP2BAI)	(o)	100%	-
8CP Building Administration Inc. (8CPBAI)	(o)	100%	-
CIP Building Administration Inc. (CIPBAI)	(o)	100%	-
Suntrust Properties, Inc. (SPI)		100%	100%
Suntrust Ecotown Developers, Inc. (SEDI)		100%	100%
Governor's Hills Science School, Inc. (GHSSI)		100%	100%
Sunrays Property Management, Inc. (SPMI)		100%	100%
Suntrust One Shanata, Inc. (SOSI)	(a)	100%	100%
Suntrust Two Shanata, Inc. (STSI)	(a)	100%	100%
Stateland, Inc. (STLI)	(h)	98.41%	98.41%
Global-Estate Resorts, Inc. (GERI)	(m)	82.51%	82.51%
Elite Communities Property Services, Inc. (ECPSI)	(n)	82.51%	82.51%
Southwoods Mall, Inc. (SMI)	(n)	91.18%	91.19%
Elite Club & Leisure Inc. (ECLI)	(n)	82.51%	82.51%
Integrated Resorts Property Management Inc. (IRPMI)	(n)	82.51%	82.51%
Megaworld Global-Estate, Inc. (MGEI)	(n)	89.51%	89.51%
Twin Lakes Corporation (TLC)	(n)	91.08%	91.08%
Twin Lakes Hotel, Inc. (TLHI)	(n)	91.08%	91.08%
Global-Estate Properties, Inc. (GEPI)	(n)	82.51%	82.51%
Aklan Holdings, Inc. (AHI)	(a, n)	82.51%	82.51%
Blu Sky Airways, Inc. (BSAI)	(a, n)	82.51%	82.51%
Fil-Estate Subic Development Corp. (FESDC)	(a, n)	82.51%	82.51%
Fil-Power Construction Equipment			
Leasing Corp. (FPCELC)	(a, n)	82.51%	82.51%
Golden Sun Airways, Inc. (GSAI)	(a, n)	82.51%	82.51%
La Compañía De Sta. Barbara, Inc. (LCSBI)	(n)	82.51%	82.51%
MCX Corporation (MCX)	(a, n)	82.51%	82.51%
Pioneer L-5 Realty Corp. (PLRC)	(a, n)	82.51%	82.51%
Prime Airways, Inc. (PAI)	(a, n)	82.51%	82.51%
Sto. Domingo Place Development			
Corp. (SDPDC)	(n)	82.51%	82.51%
Fil-Power Concrete Blocks Corp. (FPCBC)	(a, n)	82.51%	82.51%
Fil-Estate Industrial Park, Inc. (FEIPI)	(a, n)	65.18%	65.18%
Sherwood Hills Development, Inc. (SHDI)	(n)	45.38%	45.38%

Subsidiaries	Explanatory Notes	<u>Effective Percentage of Ownership</u>	
		<u>September 2025</u>	<u>December 2024</u>
Global-Estate Golf and Development, Inc. (GEGDI)	(n)	82.51%	82.51%
Golforce, Inc. (Golforce)	(n)	82.51%	82.51%
Southwoods Ecocentrum Corp. (SWEC)	(n)	49.51%	49.50%
Philippine Aquatic Leisure Corp. (PALC)	(a, n)	49.51%	49.50%
Fil-Estate Urban Development Corp. (FEUDC)	(n)	82.51%	82.51%
Novo Sierra Holdings Corp. (NSHC)	(a, n)	82.51%	82.51%
Global Homes and Communities, Inc. (GHCI)	(a, n)	82.51%	82.51%
Savoy Hotel Boracay, Inc. (SHBI)	(n)	82.51%	82.51%
Belmont Hotel Boracay, Inc. (BHBI)	(n)	82.51%	82.51%
Chancellor Hotel Boracay, Inc. (CHBI)	(k)	82.51%	82.51%
Oceanfront Properties, Inc. (OPI)	(n)	41.26%	41.22%
Empire East Land Holdings, Inc. (EELHI)		81.73%	81.73%
Eastwood Property Holdings, Inc. (EPHI)		81.73%	81.73%
Valle Verde Properties, Inc. (VVPI)	(a)	81.73%	81.73%
Sherman Oak Holdings, Inc. (SOHI)	(a)	81.73%	81.73%
Empire East Communities, Inc. (EECI)	(a)	81.73%	81.73%
20 th Century Nylon Shirt Co., Inc. (20th Century)	(a)	81.73%	81.73%
Laguna BelAir Science School, Inc. (LBASSI)	(l)	59.67%	59.67%
Sonoma Premier Land, Inc. (SPLI)	(a)	49.04%	49.04%
Pacific Coast Megacity, Inc. (PCMI)	(j)	58.53%	58.53%
Megaworld Resort Estates, Inc. (MREI)	(b, c)	51%	51%
Townsquare Development, Inc. (TDI)		30.60%	30.60%
Golden Panda-ATI Realty Corporation (GPARC)		30.60%	30.60%
<u>Associates</u>			
Bonifacio West Development Corporation (BWDC)		46.11%	46.11%
Palm Tree Holdings and Development Corporation (PTHDC)	(a)	40%	40%
Suntrust Resort Holdings, Inc., formerly Suntrust Home Developers, Inc. (SUN)		34%	34%
SWC Project Management Limited (SWCPML)		34%	34%
WC Project Management Limited (WCPML)		34%	34%
Suncity WC Hotel Inc. (Suncity WC)		34%	34%
GERI			
Fil-Estate Network, Inc. (FENI)	(a)	16.50%	16.50%
Fil-Estate Sales, Inc. (FESI)	(a)	16.50%	16.50%
Fil-Estate Realty and Sales Associates, Inc. (FERSAI)	(a)	16.50%	16.50%
Fil-Estate Realty Corp. (FERC)	(a)	16.50%	16.50%
Nasugbu Properties, Inc. (NPI)		11.55%	11.55%

Explanatory Notes:

- (a) These are entities which have not yet started commercial operations or are non-operating entities as at September 30, 2025.
- (b) As at September 30, 2025, the Parent Company owns 76.55% of MCPI consisting of 51% direct ownership, 18.97% indirect ownership through EELHI and 6.58% indirect ownership through MREI.
- (c) As at September 30, 2025, the Parent Company's ownership in GPMAL is at 52.14%, which consists of 38.72% and 13.42% indirect ownership from EELHI and MREI, respectively.
- (d) As at September 30, 2025, the Parent Company owns 68.03% of MBPHI, which consists of 67.43% direct ownership and 0.60% indirect ownership from TIHGI.
- (e) These were incorporated to engage in operation, maintenance, and administration of various malls and commercial centers. These companies became subsidiaries of the Parent Company through MLI, their immediate parent company.

- (f) MFMI, MPMI and MREIT are newly incorporated subsidiaries in 2021. MFMI is engaged in the business of providing fund management services to real estate investment trust (REIT) companies. MPMI is engaged in the business of providing services in relation to property management, lease management, marketing and project management. MREIT is engaged in the business of an REIT, as provided under Republic Act (R.A.) No. 9856, The Real Estate Investment Trust Act of 2009, including its implementing rules and regulations, and other applicable laws. As of 2024, ownership is at 63.44%. In July and September 2025, the Parent Company disposed certain number of shares resulting in a decrease in ownership to 56.63%.
- (g) These were incorporated to engage in owning, leasing, operation and management of hotels.
- (h) As at September 30, 2025, the effective ownership of Parent Company over STLI is 98.41%, consisting of 18.94% direct ownership and 79.47% indirect ownership through SPI.
- (i) The ownership structure of this entity remains at 60% owned by the Parent Company after a decrease in capital in 2021.
- (j) PCMI is a subsidiary through EELHI. In 2021, certain number of shares owned by the Ultimate Parent Company were transferred to the Parent Company, increasing the effective ownership of the Parent Company to 58.53%, which consists of 25.84% direct ownership and 32.69% indirect ownership from EELHI.
- (k) Newly incorporated subsidiaries in 2024.
- (l) LBASSI is a subsidiary through EELHI primarily engaged in operating a school for primary and secondary education. In 2022, the subsidiary ceased its operations.
- (m) In April 2024, the Parent Company acquired additional shares of GERI, increasing its ownership interest to 82.51%.
- (n) Subsidiaries of GERI. As a result of the additional investments in GERI in 2024, the Parent Company's indirect ownership interest over these subsidiaries increased in proportion to the increase in effective interest over GERI.
- (o) These were incorporated to engage in operations, maintenance, and administration of various offices.
- (p) In September 2025, the Parent Company disposed its ownership interest over GOHGI.

All subsidiaries and associates were incorporated and have their principal place of business in the Philippines except for the following:

- MCII – incorporated and has principal place of business in the Cayman Islands
- RHGI – incorporated and has principal place of business in the British Virgin Islands
- SWCPML – incorporated and has principal place of business in Hongkong
- WCPML – incorporated and has principal place of business in Macau

The Parent Company and its subsidiaries, except for entities which have not yet started commercial operations as at September 30, 2025, are presently engaged in the real estate business, hotel, condominium-hotel operations, construction, restaurant operations, business process outsourcing, educational facilities provider, property management operations, fund management operations, marketing services and e-commerce.

There are no significant restrictions on the Parent Company's ability to access or use the assets and settle the liabilities of the Group.

EELHI, GERI, MREIT and SUN are publicly-listed companies in the Philippines.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The significant accounting policies that have been used in the preparation of these interim condensed consolidated financial statements are consistent with those applied in the audited consolidated financial statements as of and for the year ended December 31, 2024, except for the application of amendments to standards that became effective on January 1, 2025 (see note 2.2)

2.1 Basis of Preparation of Interim Condensed Consolidated Financial Statements

(a) Statement of Compliance with Philippine Financial Reporting Standards

These interim unaudited condensed consolidated financial statements for the nine months ended September 30, 2025 and 2024 have been prepared in accordance with Philippine Accounting Standard (PAS) 34, Interim Financial Reporting. These do not include all the information and disclosures required in the annual consolidated financial statements and should be read in conjunction with the audited consolidated financial statements of the Group as at and for the year ended December 31, 2024.

The interim unaudited condensed consolidated financial statements have been prepared using the measurement bases specified by the Philippine Financial Reporting Standards (PFRS). These interim consolidated financial statements are presented in Philippine Peso, the Group's presentation and functional currency, and all values represent absolute amounts except when otherwise indicated. Items included in the interim consolidated financial statements of the Group are measured using the Group's functional currency. Functional currency is the currency of the primary economic environment in which the Group operates.

2.2 Adoption of Amended PFRS Accounting Standards

(a) Effective in 2024 that are Relevant to the Group

The Group adopted for the first time the following amendments to existing standards, which are mandatorily effective for annual periods beginning on or after January 1, 2024:

PAS 1 (Amendments)	:	Presentation of Financial Statements – Classification of Liabilities as Current or Non-current, and Non-current Liabilities with Covenants
PAS 7 and PFRS 7 (Amendments)	:	Statement of Cash Flow, and Financial Instruments: Disclosures – Supplier Finance Arrangements
PFRS 16 (Amendments)	:	Lease Liability in a Sale and Leaseback

Discussed below and in the succeeding page are the relevant information about these pronouncements.

- (i) PAS 1 (Amendments), *Presentation of Financial Statements – Classification of Liabilities as Current or Non-current*. The amendments provide guidance on whether a liability should be classified as either current or non-current. The amendments clarify that the classification of liabilities as current or non-current should be based on rights that are in existence at the end of the reporting period and that the classification is unaffected by expectations about whether an entity will exercise its right to defer settlement of a liability. The application of these amendments had no significant impact on the Group's consolidated financial statements.

- (ii) PAS 1 (Amendments), *Presentation of Financial Statements – Non-current Liabilities with Covenants*. The amendments specifies that if the right to defer settlement for at least 12 months is subject to an entity complying with conditions after the reporting period, then those conditions would not affect whether the right to defer settlement exists at the end of the reporting period for the purposes of classifying a liability as current or non-current.

For non-current liabilities subject to conditions, an entity is required to disclose information about the conditions, whether the entity would comply with the conditions based on its circumstances at the reporting date and whether and how the entity expects to comply with the conditions by the date on which they are contractually required to be tested. The application of these amendments had no significant impact on the Group's consolidated financial statements.

- (iii) PAS 7 and PFRS 7 (Amendments), *Statement of Cash Flows, Financial Instruments: Disclosures – Supplier Finance Arrangements*. The amendments add a disclosure objective to PAS 7 stating that an entity is required to disclose information about its supplier finance arrangements that enables users of financial statements to assess the effects of those arrangements on the entity's liabilities and cash flows. In addition, PFRS 7 is amended to add supplier finance arrangements as an example within the requirements to disclose information about an entity's exposure to concentration of liquidity risk. The application of these amendments had no significant impact on the Group's consolidated financial statements.
- (iv) PFRS 16 (Amendments), *Lease Liability in a Sale and Leaseback*. The amendments require seller-lessee to subsequently measure lease liabilities arising from a leaseback in a way that it does not recognize any amount of the gain or loss that relates to the right of use it retains. The new requirements do not prevent a seller-lessee from recognizing in profit or loss any gain or loss relating to the partial or full termination of a lease. The application of these amendments had no significant impact on the Group's consolidated financial statements.

(b) *Effective Subsequent to 2024*

There are amendments to existing standards effective for annual periods subsequent to 2024, which are adopted by the FRSB. Management will adopt the following relevant pronouncements in accordance with their transitional provisions; and unless otherwise indicated, none of these are expected to have a significant impact on the Group's consolidated financial statements:

- (i) PAS 21 (Amendments), *The Effects of Changes in Foreign Exchange Rates – Lack of Exchangeability* (effective from January 1, 2025)
- (ii) PFRS 9 and PFRS 7 (Amendments), *Financial Instruments, and Financial Instruments: Disclosures – Amendments to the Classification and Measurement of Financial Instruments* (effective from January 1, 2026)

- (iii) PFRS 18, *Presentation and Disclosure in Financial Statements* (effective from January 1, 2027). The new standard impacts the classification of profit or loss items (i.e., into operating, investing and financing categories) and the presentation of subtotals in the statement of profit or loss (i.e., operating profit and profit before financing and income taxes). The new standard also changes the aggregation and disaggregation of information presented in the primary financial statements and in the notes. It also introduces required disclosures about management-defined performance measures. The amendments, however, do not affect how an entity recognizes and measures its financial condition, financial performance and cash flows.
- (iv) PFRS 19, *Subsidiaries without Public Accountability: Disclosures* (effective from January 1, 2027) The new standard reduces the disclosure requirements prescribed by other standards for subsidiaries without public accountability. It changes disclosure requirements prescribed by other standards as the reporting entity will instead refer to PFRS 19 for required disclosures.
- (v) PFRS 10 and PAS 28 (Amendments), *Consolidated Financial Statements and Investments in Associates and Joint Ventures – Sale or Contribution of Assets between an Investor and its Associate or Joint Venture* (effective date deferred indefinitely).

3. SIGNIFICANT ACCOUNTING ESTIMATES AND JUDGMENTS

In preparing the interim condensed consolidated financial statements, management undertakes a number of judgments, estimates and assumptions about recognition and measurement of assets, liabilities, income and expenses. The actual results may differ from the judgments, estimates and assumptions made by management, and will seldom equal the estimated results. The judgments, estimates and assumptions applied in the interim condensed consolidated financial statements, including the key sources of estimation uncertainty, were the same as those applied in the Group's last annual financial statements as at and for the year ended December 31, 2024.

The Group performed its annual impairment test of goodwill and other intangible assets with indefinite useful life at year end and when circumstances indicate the carrying value may be impaired. The Group's impairment test for goodwill arising from business combination and other intangible assets is based on value-in-use calculations. The Group considers the relationship between the market capitalization of the subsidiaries and its net book value, among other factors, when reviewing for indicators of impairment. The Group's management assessed that for the nine months ended September 30, 2025 and as at December 31, 2024, goodwill arising from business combination and other intangible assets with indefinite useful life are not impaired.

4. SEGMENT INFORMATION

4.1 Business Segments

The Group's operating businesses are organized and managed separately according to the nature of products and services provided, with each segment representing a strategic business unit that offers different products and serves different markets. The Group is engaged in the development of residential and office units including urban centers integrating office, residential and commercial components. The Real Estate segment pertains to the development and sale of residential and office developments. The Rental segment includes leasing of office and commercial spaces. The Hotel Operations segment relates to the management of hotel business operations. The Group generally accounts for intersegment sales and transfers as if the sales or transfers were to third parties at current market price.

4.2 Segment Assets and Liabilities

Segment assets are allocated based on their physical location and use or direct association with a specific segment and they include all operating assets used by a segment and consist principally of operating cash and cash equivalents, receivables, real estate inventories, property and equipment, and investment properties, net of allowances and provisions. Similar to segment assets, segment liabilities are also allocated based on their use or direct association with a specific segment. Segment liabilities include all operating liabilities and consist principally of accounts, wages, taxes currently payable and accrued liabilities. Segment assets and segment liabilities do not include deferred taxes.

4.3 Intersegment Transactions

Segment revenues, expenses and performance include sales and purchases between business segments. Such sales and purchases are eliminated in consolidation.

4.4 Analysis of Segment Information

The tables presented below present revenue and profit information regarding industry segments for the nine months ended September 30, 2025 and 2024 and certain asset and liability information regarding segments as at September 30, 2025 and 2024.

	September 30, 2025			
	Sale of Goods – Real estate	Sale of Services		Total
		Rental	Hotel Operations	
TOTAL REVENUES				
Sales to external customers	P 40,243,876,337	P 16,240,268,273	P 4,128,061,922	P 60,612,206,532
Intersegment sales	-	849,630,475	-	849,630,475
Total Revenues	<u>40,243,876,337</u>	<u>17,089,898,748</u>	<u>4,128,061,922</u>	<u>61,461,837,007</u>
COSTS AND OTHER OPERATING EXPENSES				
Costs of sales and services excluding depreciation and amortization	27,597,136,271	2,109,368,628	3,543,978,365	33,250,483,264
Depreciation and amortization	<u>240,355,060</u>	<u>2,220,072,891</u>	<u>182,156,483</u>	<u>2,642,584,434</u>
	<u>27,837,491,331</u>	<u>4,329,441,519</u>	<u>3,726,134,848</u>	<u>35,893,067,698</u>
SEGMENT OPERATING PROFITS	<u>P 12,406,385,006</u>	<u>P 12,760,457,229</u>	<u>P 401,927,074</u>	<u>P 25,568,769,309</u>

ASSETS AND LIABILITIES

Segment assets	<u>P 291,049,816,993</u>	<u>P 160,532,229,494</u>	<u>P 12,436,760,787</u>	<u>P 464,018,807,274</u>
Segment liabilities	<u>P 112,431,510,830</u>	<u>P 70,361,349,699</u>	<u>P 2,543,865,645</u>	<u>P 185,336,726,174</u>

September 30, 2024				
	Sale of Goods – Real estate	Sale of Services		Total
		Rental	Hotel Operations	
TOTAL REVENUES				
Sales to external customers	P 37,847,973,300	P 14,155,199,319	P 3,642,878,798	P 55,646,051,417
Interest income on real estate sales	1,138,573,087	-	-	1,138,573,087
Intersegment sales	-	1,013,053,904	-	1,013,053,904
Total Revenues	<u>38,986,546,387</u>	<u>15,168,253,223</u>	<u>3,642,878,798</u>	<u>57,797,678,408</u>
COSTS AND OTHER OPERATING EXPENSES				
Costs of sales and services	26,417,144,781	1,768,653,881	3,123,583,375	31,309,382,037
Depreciation and amortization	269,396,187	2,236,112,841	142,550,138	2,648,059,166
	<u>26,686,540,968</u>	<u>4,004,766,722</u>	<u>3,266,133,513</u>	<u>33,957,441,203</u>
SEGMENT OPERATING PROFITS	<u>P 12,300,005,419</u>	<u>P 11,163,486,501</u>	<u>P 376,745,285</u>	<u>P 23,840,237,205</u>

ASSETS AND LIABILITIES

Segment assets	<u>P 282,492,218,762</u>	<u>P 150,157,103,350</u>	<u>P 6,623,347,136</u>	<u>P 439,272,669,248</u>
Segment liabilities	<u>P 115,084,532,820</u>	<u>P 61,044,739,178</u>	<u>P 2,845,284,125</u>	<u>P 178,974,556,123</u>

4.5 Reconciliations

Presented below is a reconciliation of the Group's segment information to the key financial information presented in its consolidated financial statements.

	<u>September 30, 2025</u>	<u>September 30, 2024</u>
Revenues		
Total segment revenues	P 61,461,837,007	P 57,797,678,408
Unallocated interest and other income	3,801,516,888	2,998,696,446
Elimination of intersegment sales	(849,630,475)	(1,013,053,904)
Revenues as reported in profit or loss	<u>P 64,413,723,420</u>	<u>P 59,783,320,950</u>
Profit or loss		
Segment operating profit	P 25,568,769,309	P 23,840,237,205
Unallocated interest and other income	3,801,516,888	2,998,696,446
Unallocated interest and other charges	(4,289,687,234)	(5,403,851,054)
Equity share in net losses - net	(130,851,563)	(104,141,835)
Other unallocated expenses	(2,972,185,123)	(1,987,579,483)
Profit before tax as reported in profit or loss	<u>P 21,977,562,277</u>	<u>P 19,343,361,279</u>

	<u>September 30, 2025</u>	<u>September 30, 2024</u>
Assets		
Segment assets	P 464,018,807,274	P 439,272,669,248
Investments in associates	2,682,633,288	2,965,280,489
Financial assets at fair value through other comprehensive income	5,117,556,441	5,490,957,767
Advances to other related parties	7,186,374,043	6,304,113,167
Other unallocated assets	<u>6,480,841,701</u>	<u>5,916,997,005</u>
Total assets reported in the consolidated statements of financial position	<u>P 485,486,212,747</u>	<u>P 459,950,017,676</u>
Liabilities		
Segment liabilities	P 185,336,726,174	P 178,974,556,123
Advances from associates and other related parties	1,634,123,650	1,169,490,375
Other unallocated liabilities	<u>2,804,859,591</u>	<u>1,870,900,924</u>
Total liabilities reported in the consolidated statements of financial position	<u>P 189,775,709,415</u>	<u>P 182,014,947,422</u>

5. CASH DIVIDENDS

The details of the Company's cash dividend declarations, both for preferred and common shares are as follows

	<u>2025</u>
Declaration date/date of approval by BOD	August 11, 2025
Date of record	August 27, 2025
Date paid	September 8, 2025
Amounts declared	P 3,059,122,881
Common	<u>600,000</u>
Preferred	<u>P 3,059,722,881</u>
Dividends per share:	
Common	<u>P 0.09</u>
Preferred	<u>P 0.01</u>

6. EARNINGS PER SHARE

Earnings per share (EPS) amounts were computed as follows:

	<u>September 30, 2025</u>	<u>September 30, 2024</u>
Net profit attributable to Company's Shareholders	<u>P 15,928,602,158</u>	<u>P 13,727,122,608</u>
Computed dividends on cumulative preferred shares series "A"	<u>(448,767)</u>	<u>(449,180)</u>
Profit available to Company's common shareholders	<u>P 15,928,153,391</u>	<u>P 13,726,673,428</u>
Divided by weighted average number of outstanding common shares	<u>32,558,188,579</u>	<u>31,489,365,011</u>
Basic EPS	<u>P 0.489</u>	<u>P 0.436</u>
Divided by weighted average number of outstanding common shares and potential dilutive shares	<u>32,558,188,579</u>	<u>31,489,365,011</u>
Diluted EPS ¹	<u>P 0.489</u>	<u>P 0.436</u>

¹The Company has no diluted shares as of the third quarter of 2025 as the average market price of stock option is lower than the exercise price.

7. COMMITMENTS AND CONTINGENCIES

There are commitments, guarantees and contingent liabilities that arise in the normal course of operations of the Group which are not reflected in the accompanying interim condensed consolidated financial statements. The management of the Group is of the opinion, that losses, if any, from these items will not have any material effect on its consolidated financial statements.

In addition, there are no material off-balance sheet transactions, arrangements, obligations and other relationships of the Group with unconsolidated entities or other persons created during the reporting period.

8. SEASONAL FLUCTUATIONS

There were no seasonal aspects that had a material effect on the financial condition or results of operations of the Group.

9. RISK MANAGEMENT OBJECTIVES AND POLICIES

The Group has various financial instruments such as cash and cash equivalents, financial assets at fair value through other comprehensive income (FVOCI), interest-bearing loans and borrowings, bonds payable, trade receivables and payables which arise directly from the Group's business operations. The financial liabilities were issued to raise funds for the Group's capital expenditures.

Exposure to currency, interest rate, credit, liquidity and equity risk arises in the ordinary course of the Group's business activities. The main objective of the Group's risk management is to identify, monitor, and minimize those risks and to provide cost with a degree of certainty.

The Group does not actively engage in the trading of financial assets for speculative purposes.

9.1 Foreign Currency Sensitivity

Most of the Group's transactions are carried out in Philippine peso, its functional currency. Exposures to currency exchange rates arise mainly from the Group's U.S. dollar-denominated cash and cash equivalents, loans and bonds payable which have been used to fund new projects and for general corporate purposes.

Exposures to foreign exchange rates vary during the period depending on the volume of overseas transactions and mainly affect consolidated profit or loss of the Group. There are no material exposures on foreign exchange rate that affect the Group's consolidated other comprehensive income (loss).

9.2 Interest Rate Sensitivity

The Group's interest risk management policy is to minimize interest rate and cash flow risk exposures to changes in interest rates. The Group maintains a debt portfolio unit of both fixed and floating interest rates. Most long-term borrowings are subject to fixed interest rate while other financial assets are subject to variable interest rates.

The Group manages its interest risk by leveraging the fixed interest rate debt obligations over the floating interest rate debt obligations in its debt portfolio.

9.3 Credit Risk

The Group's credit risk is attributable to trade receivables, rental receivables and other financial assets. The Group maintains defined credit policies and continuously monitors defaults of customers and other counterparties, identified either individually or by group, and incorporates this information into its credit risk controls. Where available at a reasonable cost, external credit ratings and/or reports on customers and other counterparties are obtained and used. The Group's policy is to deal only with creditworthy counterparties. In addition, for a significant proportion of sales, advance payments are received to mitigate credit risk.

9.4 Liquidity Risk

The Group manages its liquidity needs by carefully monitoring scheduled debt servicing payments for long-term financial liabilities as well as cash outflows due in a day-to-day business. Liquidity needs are monitored in various time bands, on a day-to-day and week-to-week, as well as on the basis of a rolling 30-day projection. Long-term needs for a nine-month and a one-year period are identified monthly.

The Group maintains cash to meet its liquidity requirements for up to 60-day period. Excess cash are invested in time deposits or short-term marketable securities. Funding for long-term liquidity needs is additionally secured by an adequate amount of committed credit facilities and the ability to sell long-term financial assets.

9.5 Other Price Risk Sensitivity

The Group's market price risk arises from its financial assets at FVOCI carried at fair value. It manages its risk arising from changes in market price by monitoring the changes in the market price of the investments.

The investments in listed equity securities are considered long-term strategic investments. In accordance with the Group's policies, no specific hedging activities are undertaken in relation to these investments. The investments are continuously monitored and voting rights arising from these equity instruments are utilized in the Group's favor.

10. CATEGORIES AND FAIR VALUES OF FINANCIAL ASSETS AND LIABILITIES

10.1 Carrying Amounts and Fair Values by Category

The carrying values and fair values of the categories of financial assets and liabilities presented in the consolidated statements of financial position are shown below.

	September 30, 2025 (Unaudited)		December 31, 2024 (Audited)	
	Carrying Values	Fair Values	Carrying Values	Fair Values
Financial Assets				
At amortized cost:				
Cash and cash equivalents	P 19,221,367,110	P 19,221,367,110	P 21,421,340,361	P 21,421,340,361
Trade and other receivables - net	79,845,708,037	78,724,685,834	74,559,367,874	74,003,286,582
Guarantee and other deposits	1,212,869,492	1,212,869,492	1,037,397,688	1,037,397,688
	<u>P 100,279,944,639</u>	<u>P 99,158,922,436</u>	<u>P 97,018,105,923</u>	<u>P 96,462,024,631</u>
Financial assets at FVTPL –				
Derivative assets	<u>P 423,660,108</u>	<u>P 423,660,108</u>	<u>P 359,238,652</u>	<u>P 359,238,652</u>
Financial assets at FVOCI –				
Equity securities	<u>P 5,117,556,441</u>	<u>P 5,117,556,441</u>	<u>P 5,411,250,309</u>	<u>P 5,411,250,309</u>
Financial Liabilities				
At amortized cost:				
Interest-bearing loans and borrowings	P 82,626,005,230	P 82,844,455,272	P 89,993,511,031	P 86,022,502,199
Bonds and notes payable	20,130,456,228	19,162,317,658	20,049,554,649	19,369,933,610
Trade and other payables	33,579,841,272	33,058,294,743	28,832,783,344	28,764,009,126
Advances from other related parties	1,634,123,650	1,634,123,650	1,463,852,566	1,463,852,566
Other liabilities	<u>4,405,921,738</u>	<u>4,405,921,738</u>	<u>4,038,667,095</u>	<u>4,038,667,096</u>
	<u>P 142,376,348,118</u>	<u>P 141,105,113,061</u>	<u>P 144,378,368,685</u>	<u>P 139,658,964,597</u>

10.2 Fair Value Hierarchy

In accordance with PFRS 13, *Fair Value Measurement*, the fair value of financial assets and liabilities and non-financial assets which are measured at fair value on a recurring or non-recurring basis and those assets and liabilities not measured at fair value but for which fair value is disclosed in accordance with other relevant PFRS, are categorized into three levels based on the significance of inputs used to measure the fair value. The fair value hierarchy has the following levels:

- a) Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities that an entity can access at the measurement date;
- b) Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices); and,
- c) Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

The level within which the asset or liability is classified is determined based on the lowest level of significant input to the fair value measurement.

For purposes of determining the market value at Level 1, a market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis. For investments which do not have quoted market price, the fair value is determined by using generally acceptable pricing models and valuation techniques or by reference to the current market of another instrument which is substantially the same after taking into account the related credit risk of counterparties, or is calculated based on the expected cash flows of the underlying net asset based on the instrument. When the Parent company uses valuation technique, it maximizes the use of observable market data where it is available and relies as little as possible on entity specific estimates. If all significant inputs required to determine the fair value of an instrument are observable, the instrument is included in Level 2. Otherwise, it is included in Level 3.

11. OTHER MATTERS

11.1 Block Sale Transaction

On July 25, 2025, the Parent Company sold 84,800,000 common shares of MREIT at an offer price of Php 13.82 per share, equivalent to Php 1.17 billion, under a block sale transaction. The proceeds from the block sale were settled on July 29, 2025.

On September 17, 2025, the Parent Company sold 168,631,900 common shares of MREIT at an offer price of Php 13.28 per share, equivalent to Php 2.24 billion, under a block sale transaction. The proceeds from the block sale were settled on September 19, 2025.

11.2 Subscription to the Increase in Authorized Capital Stock of MREIT

As part of a Memorandum of Understanding (the “Agreement”) entered into between MREIT and the Parent Company, as sponsor, on 17 October 2025, MREIT has submitted to the Securities and Exchange Commission (“SEC”) its application for the increase of its authorized capital stock from Php 5 billion to Php 8 billion on 20 October 2025 and is currently waiting approval.

Pursuant to the Agreement, MREIT and the Parent Company agreed to pursue a share swap arrangement over certain income-generating real estate of the Parent Company that meets the investment criteria of MREIT (“Target Growth Assets”). The details of the said share swap arrangement, including the final determination of the valuation of the properties and the swap price are still being discussed by MREIT and the Parent Company, and will be subject to compliance with the requirements of the SEC and the Philippine Stock Exchange (“PSE”).

Out of the increase of Php 3 billion, and as and by way of compliance with statutory requirements, the Parent Company initially subscribed to 25% equivalent to the amount of Php 750 million, and paid, in cash, the amount of Php 187.5 million, representing the statutory payment of 25% of the 25% subscription. The subscription by the Parent Company shall consist of par value of Php1.00 per share or Php750 million, and Additional Paid In Capital (APIC) to be determined once the valuation report and fairness opinion are secured from third party service providers. The average adjusted price per share shall nonetheless be equivalent to not less than PhP14.39/share which shall carry a premium to Volume Weighted Average Price (VWAP) of MREIT Shares for the period of thirty (30) Trading Days prior to the execution of share swap arrangement.

Once MREIT’s application for increase in authorized capital stock is approved by the SEC, the share swap arrangement shall be pursued as a tax-free exchange under Sec. 40(c)(2) of the National Internal Revenue Code, as amended. The MREIT Shares shall be issued upon the confirmation of the valuation of the Target Growth Assets by the SEC. MREIT will apply for the additional listing of the MREIT Shares resulting from the share swap arrangement with the Exchange.

Management's Discussion and Analysis of Results of Operations and Financial Condition

Results of Operations

(Based on Financial Statements adopted in accordance with the Philippine Financial Reporting Standards)

Review of September 30, 2025 versus September 30, 2024

Megaworld, the country's leading township developer, posted a net income of Php 17.93 billion for the nine months ended September 30, 2025, a 14.31% increase from Php 15.69 billion in the same period last year. Net income attributable to the parent company rose by 16.04% to Php 15.93 billion from Php 13.73 billion, reflecting stronger operating performance and improved profitability across core businesses.

The Group's consolidated revenues increased by 7.75% reaching Php 64.41 billion from Php 59.78 billion during the same period last year. Core revenues increased by 8.92% to Php 60.61 billion, underscoring the continued strength of Megaworld's recurring and development-driven operations.

Development. Real estate sales remained the primary contributor to the Group's revenues, accounting for 62.48% of the total. Revenues from this segment grew by 6.33% to Php 40.24 billion from Php 37.85 billion in the same period last year. The growth was supported by strong residential demand across integrated township developments in Metro Manila and key provincial locations, along with ongoing project completions. Notable contributors in Metro Manila include Arcovia City (18 Avenue De Triomphe, Arcovia Palazzo – Althea and Benissa, and Arcovia Park Place), Makati City (Vion Tower), Manila City (Kingsquare Residential Suites), McKinley Hill (The Florence), McKinley West (Park Mckinley West Towers A, C, & D), Quezon City (Manhattan Plaza Tower 2), Uptown Bonifacio (Uptown Arts Residences), Westside City (Sunny Coast Residential Resort, Grand Westside Hotel, and Bayshore Residential Resort 2 Phase 2). Key provincial contributors include Iloilo Business Park (The Pinnacle and Belmont Hotel Iloilo), Maple Grove (Maple Grove Park Village and Maple Grove Park Village - Lot B), The Mactan Newtown (La Victoria Global Residences), Northwin Global City (Northwin Mainstreet and 9 Central Park) and The Upper East (One Manhattan and Herald Parksuites).

Leasing. Leasing revenues sustained double-digit growth, rising by 14.73% to Php 16.24 billion from the previous year's Php 14.16 billion, and representing 25.21% of consolidated revenues. Office leasing rose by 15.64% to Php 11.14 billion from the previous year's Php 9.63 billion, driven by rental escalations, successful tenant renewals and new leases in both mature and newly-completed assets. Mall leasing revenues likewise improved to Php 5.10 billion, increasing by 12.79% from the previous year's Php 4.52 billion, supported by higher tenant sales, stronger foot traffic, and improved retail mix anchored by food and beverage, services, and premium retail tenants.

Hotel Operations. Hotel revenues grew by 13.32%, to Php 4.13 billion from Php 3.64 billion during the same period last year. The improvement was attributed to the continued rebound in domestic tourism, the resurgence of MICE (Meetings, Incentives, Conventions, and Exhibition) activities, and the additional contribution from the newly consolidated hotels, which expanded the Group's hospitality portfolio. These factors collectively contributed to higher occupancy levels and stronger average daily rates across Megaworld's hotel brands.

Total costs and expenses rose by 5.41% to Php 46.48 billion, growing at a slower pace than revenue and reflecting improved operating leverage. Cost of real estate sales grew by 4.96% to Php 19.87 billion, aligned with the increase in real estate sales reflecting effective pricing and cost management strategies, allowing real estate margin to improve by 64% to 50.61% from the last year's 49.97%, amid broader construction and supply chain pressures. Operating expenses increased by 13.12% to Php 15.74 billion, while interest and other charges – net decreased by 20.62% from 5.40 billion to Php 4.29 billion in the third quarter of 2025. Tax expense for 2025 reached Php 4.05 billion resulted in an increase of 10.66% from 2024 reported amount of Php 3.66 billion.

There were no seasonal effects or material one-off events that influenced performance during the quarter. The Group reports no adverse trends or uncertainties that may significantly impact sales or margins in the near term. Additionally, there were no significant non-operating items affecting income, suggesting that the results reflect the ongoing strength of Megaworld's core operations.

Financial Condition

The Group maintains a strong and stable financial position, underpinned by disciplined capital management and operational resilience across its diversified business segments. As of September 30, 2025, the Group's total assets increased by 3.37% to Php 485.49 billion, from Php 469.64 billion as of December 31, 2024, reflecting continued investment in development projects and expansion of its recurring income portfolio.

The Group continues to exhibit healthy liquidity, with current assets remaining stable at Php 254.66 billion, slightly higher by 2.82% from Php 247.68 billion. Current liabilities rose by 7.18% from Php 72.31 billion in 2024 to Php 77.50 billion in 2025, primarily due to higher project-related payables and ongoing operating activities.

Cash and cash equivalents decreased by 10.27% to Php 19.22 billion, from Php 21.42 billion at year-end 2024, mainly due to deployment of capital for project developments, loan repayments, and operational requirements. Despite the decrease, the Group maintained sufficient cash reserves to cover its short-term obligations and working capital needs.

Trade and other receivables, net-both current and non-current rose by 7.09%, reaching Php 79.85 billion, indicating strong billing and collection activities from real estate and leasing operations. Contract assets likewise rose 7.06% to Php 38.02 billion in 2025, up from Php 35.52 billion in 2024, driven by ongoing project progress and revenue recognition from completed construction milestones. Meanwhile, inventories decreased slightly by 1.37% from Php 135.86 billion in 2024 to Php 133.99 billion as of September 30, 2025, primarily due to the reclassification of development assets and the successful turnover of residential units.

Investment properties – net rose by 3.14% from Php 146.88 billion in 2024 to Php 151.49 billion in 2025, driven by continued development and completion of office and commercial assets across the Group’s integrated townships. The increase also reflects reclassifications of land and development costs in accordance with recent PIC Q&A guidance.

On the liability side, trade and other payables increased by 16.46%, reaching Php 33.58 billion as of September 30, 2025, compared to Php 28.83 billion in 2024, mainly due to higher construction and supplier payables. Contract liabilities decreased by 1.89%, amounting to Php 6.46 billion from Php 6.58 billion in the prior year, while customers’ deposits - current and non-current decreased by 12.04% to Php 10.61 billion as at September 30, 2025, consistent with project completions and the conversion of deposits to recognized revenues.

Interest-bearing loans and borrowings, both current and non-current, dropped by 8.19% to Php 82.63 billion from Php 89.99 billion in 2024, following the repayment of the existing loans and partial debt settlements during the period. Bonds payable slightly increased by 0.40%, from Php 20.05 billion in 2024 to Php 20.13 billion in 2025, reflecting stable debt servicing levels.

Total other liabilities amounted to Php 15.31 billion as of September 30, 2025, increased by 1.14% from Php 15.13 billion in the previous year.

Total Equity, including non-controlling interests, continued to grow, reaching Php 295.71 billion as of September 30, 2025, from Php 278.74 billion in the previous year, supported by strong earnings performance. Equity attributable to the Parent Company’s stockholders rose by 6.22% to Php 261.61 billion from Php 246.29 billion in the previous year, demonstrating the Group’s ability to generate consistent profits and strengthen its capital base.

The top five (5) key performance indicators of the Group are shown below:

	September 30, 2025	December 31, 2024
Current Ratio *1	3.29:1.00	3.43:1.00
Debt to Equity Ratio *2	0.35:1.00	0.39:1.00
Net Debt to Equity Ratio *3	0.28:1.00	0.32:1.00
	September 30, 2025	September 30, 2024
Return on Assets *4	3.75%	3.48%
Return on Equity *5	6.27%	5.82%

**1 – Current Assets / Current Liabilities*

**2 – Total Debt / Equity (Total debt includes interest bearing loans and borrowings and bonds payable)*

**3 – Net Debt / Equity (Net debt is total debt less cash and cash equivalents)*

**4 – Net Profit / Average Total Assets*

**5 – Net Profit / Average Equity (Computed using figures attributable only to parent company shareholders)*

The Group's financial position remains resilient, supported by its strong capital base, prudent financial management, and sustained operational growth across its diversified portfolio of assets. With its solid financial standing, the Group is well-positioned for continued investment and expansion, while focusing on identifying new markets, sustaining established ones, and leveraging emerging business opportunities.

Material Changes in the Year 2025 Financial Statements

(Increase/decrease of 5% or more versus December 31, 2024)

Statements of Financial Position

10.27% decrease in cash and cash equivalents

Attributable to capital expenditures related to ongoing development initiatives and debt repayments, partially offset by net cash inflows generated from core operating activities

7.09% increase in trade and other receivables – net

Pertains mainly to receivables from real estate sales and rentals during the period

7.06% increase in contract assets

Driven by higher revenue recognition from ongoing real estate projects as construction progress ahead of collections

11.30% increase in prepayments and other assets – net

Due to higher other current assets

6.53% increase in advances to landowners and joint ventures

Due to additional advances made to landowners

5.43% decrease in financial assets at fair value through other comprehensive income

Reflecting changes in the market valuation of the Group's investment holdings

77.43% increase in property and equipment – net

Primarily due to consolidation of new hotels, as well as capital expenditures for ongoing construction, asset enhancements, and acquisitions supporting the Group's operational expansion

17.83% increase in deferred tax assets

Due to higher deferred tax assets on taxable temporary differences

8.19% decrease in interest bearing loans and borrowings

Primarily due to scheduled repayments, partially offset by new loan availments during the period

16.46% increase in trade and other payable

Mainly due to higher capital expenditures and other development activities, which resulted in increased payables to suppliers and contractors

12.04% decrease in customers' deposits

Pertains to amounts received from customers for sale of residential lots and condominium units not yet qualified for sales recognition

11.63% increase in advances from other related parties

Due to increase in advances arising from related party transactions

16.78% increase in deferred tax liabilities – net

Pertains to tax effects of taxable and deductible temporary differences

55.21% increase in income tax payable

Mainly due to higher taxable income for the period

6.09% increase in equity

Due to the group's continuous profitability

(Increase/decrease of 5% or more versus September 30, 2024)

Statements of Income

6.33% increase in real estate sales

Attributed to higher revenue recognition from project completions, supported by the acceleration of construction progress across several development projects

14.73% increase in rental income

Fueled by strong tenant sales performance, newly signed leases, rental escalations, and sustained high occupancy levels across the Group's office and retail portfolios, complemented by a favorable premium tenant mix profile

13.32% increase in hotel operations

Driven by stronger hotel bookings and higher room rates, supported by curated stay packages, experiential promotions, and events tailored to both business and leisure travelers. The newly consolidated hotels also contributed positively to the segment's revenues.

8.12% decrease in interest and other income – net

Primarily due to lower interest and other income recognized during the current year

15.26% increase in cost of hotel operations

Directly related with the increase in hotel revenues and activity levels following portfolio expansion

13.12% increase in operating expenses

Mainly due to increase in selling, administrative and general operating expenses related to the Group's growing operations and marketing activities

25.65% increase in equity share in net losses of associates

Due to incurred losses of an associate

20.62% decrease in interest and other charges – net

Primarily due to higher foreign currency losses and other charges incurred last year

10.66% increase in income tax expense

Mainly due to higher taxable income

There are no other significant changes in the Group's financial position (5% or more) and condition that will warrant a more detailed discussion. Further, there are no material events and uncertainties known to management that would have impact or change the reported financial information and condition on the Group.

There are no known trends or demands, commitments, events or uncertainties that will result in or that are reasonably likely to result in increasing or decreasing the Group's liquidity in any material way. The Group does not anticipate having any cash flow or liquidity problems. The Group is not in default or breach of any note, loan, lease or other indebtedness or financing arrangement requiring it to make payments.

There are no material off-balance sheet transactions, arrangements, obligations (including contingent obligations), and other relationships of the Group with unconsolidated entities or other persons created during the reporting period.

The Group has no unusual nature of transactions or events that affects assets, liabilities, equity, net income or cash flows.

There were no seasonal aspects that had a material effect on the financial condition or results of operations of the Group.

There were no known material events subsequent to the end of the period that have not been reflected in the Group's Financial Statements as at third quarter of 2025.

There were no changes in estimates of amount reported in the current financial year or changes in estimates of amounts reported in prior financial years.

There was no contingent liability reflected in the most recent annual financial statement, the same in the consolidated financial statements as at third quarter of 2025.

There are no commitments, guarantees and contingent liabilities that arise in the normal course of operations of the Group which are not reflected in the accompanying consolidated financial statements.

There were no other material issuances, repurchases or repayments of debt and equity securities.

MEGAWORLD CORPORATION AND SUBSIDIARIES

EXHIBIT 7

Aging of Accounts Receivables
September 30, 2025
(In thousand pesos)

	TOTAL	CURRENT/ NOT YET DUE	1-3 Months	4-6 Months	7 Months - 1 Year	Above 1 Year	Past due accounts & items in Litigation
Type of Receivables:							
Trade and other receivables	79,845,708	75,871,766	1,347,256	711,373	1,118,511	796,802	-

MEGAWORLD CORPORATION AND SUBSIDIARIES
SCHEDULE OF FINANCIAL SOUNDNESS INDICATORS
September 30, 2025 and December 31, 2024

EXHIBIT 8

Ratio	Formula	<u>September 30, 2025</u>	<u>December 31, 2024</u>
Current ratio	Current assets / Current liabilities	3.29	3.43
Acid test ratio	Quick assets / Current liabilities (Quick assets include current assets less inventories)	1.56	1.55
Debt-to-equity ratio	Total debt / Total stockholders' equity (Total debt includes interest bearing loans and borrowings and bonds and notes payable)	0.35	0.39
Asset-to-equity ratio	Total assets / Total stockholders' equity	1.64	1.68
			<u>September 30, 2024</u>
Solvency ratio	EBITDA / Total debt (Total debt includes interest bearing loans and borrowings and bonds and notes payable)	0.26	0.25
Interest rate coverage ratio	EBIT / Total Interest (Total interest includes interest expense and capitalized interest)	5.14	4.62
Return on equity	Net profit attributable to Company's shareholders / Average total equity attributable to the Company's shareholders	0.06	0.06
Return on assets	Net profit/ Average total assets	0.04	0.03
Net profit margin	Net profit / Total revenues	0.28	0.26